Daily Trend · H1 EMA Pullback

Concept

Higher-timeframe trend trades are the highest-quality continuation setups. Daily trend defines bias (close above 20-EMA on D1 = long-only). H1 pulls back to its 20-EMA. On 15m, the first pin bar or engulfing in the bias direction at that pullback is the entry.

Rules

- Daily bias — D1 close > 20-EMA AND 20-EMA sloping up -> LONG only.
D1 close < 20-EMA AND 20-EMA sloping down -> SHORT only.
- H1 pullback — Any of the last 5 H1 bars wicked into a 0.6 × ATR(H1) band around the H1 20-EMA.
- 15m proximity — The current 15m bar itself wicks within 0.4 × ATR(15m) of the H1 20-EMA — we're trading the pullback live, not after it ended.
- 15m rejection — Engulfing or pin bar in the bias direction. Bar must close past the prior 15m bar's high (long) or low (short) — commitment beyond the pullback, not just a wick touch.

Entry

- Market at rejection-bar close.

Stop loss

- 0.4 × ATR(15m) beyond the rejection wick extreme.

Take profit

- TP1: 1.5 × risk
- TP2: 3.0 × risk

Why this passes evals

- Trend-trades have the highest expectancy; 3R targets stack profit fast.
- The daily + H1 + 15m alignment is a triple filter — fewer but cleaner fires.
- Stop sits beyond a real swing low/high, not arbitrary chart distance.

Backtest Results (45-day walk-forward)

Trades: 59 · 1.31 per day

Win rate: 61% · Avg winner: 1.38 RR

Expectancy: 0.47 R per trade · Profit factor: 2.28

Result vs target (60% win, 1.2 RR): PASS
